

Corporate Finance

Section Id :	64065374342
Section Number :	13
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	20
Number of Questions to be attempted :	20
Section Marks :	25
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653157571
Question Shuffling Allowed :	No

Question Number : 223 Question Id : 6406531031845 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : CORPORATE FINANCE (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406533489524. ✓ YES

6406533489525. ✗ NO

Sub-Section Number :	2
Sub-Section Id :	640653157572
Question Shuffling Allowed :	Yes

Question Number : 224 Question Id : 6406531031846 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Robert has mean-variance preferences represented by the utility function $U = \mu - 20\sigma^2$, where μ is the expected rate of return and σ is the standard deviation of the rate of return. He is considering two assets A and B: asset A has a 10% rate of return with 0.25 probability and a 20% rate of return with 0.75 probability, whereas asset B has a 25% rate of return with 0.50 probability and a 5% rate of return with 0.50 probability. Which asset would Robert prefer?

Options :

- 6406533489526. ✓ Asset A
- 6406533489527. ✗ Asset B
- 6406533489528. ✗ Robert is indifferent between the two assets
- 6406533489529. ✗ Information is not sufficient.

Question Number : 225 Question Id : 6406531031847 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What would be the fair price of a bet that pays 2 with a 25% probability, pays 4 with a 50% probability and pays 8 with a 25% probability?

Options :

- 6406533489530. ✗ 4
- 6406533489531. ✓ 4.5
- 6406533489532. ✗ 5
- 6406533489533. ✗ 5.5

Question Number : 226 Question Id : 6406531031848 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Suppose a 1-year government bond is offering a 10% rate of return. Ankit has Rs 10,000, which he can invest in government bonds or lend to his friend Suresh. He believes that Suresh will pay back the promised amount with an 80% probability and will pay back nothing with a 20% probability. What is the default premium that Ankit should ask from Suresh?

Options :

- 6406533489534. ✗ 37.50%
- 6406533489535. ✓ 27.50%
- 6406533489536. ✗ 17.50%
- 6406533489537. ✗ 10.00%

Question Number : 227 Question Id : 6406531031852 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Axis Bank has assets of 1000 units, liabilities of 750 units and capital of 250 units. What is the leverage ratio for Axis Bank?

Options :

- 6406533489546. ✓ 4
- 6406533489547. ✗ 3
- 6406533489548. ✗ 0.33
- 6406533489549. ✗ 0.25

Question Number : 228 Question Id : 6406531031856 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

There are two assets: a risk-free asset that offers a 5% rate of return and a risky asset that has an expected rate of return of 15% and a standard deviation of 10%. What is the slope of the budget line of a portfolio consisting of these two assets?

Options :

- 6406533489558. ✗ 1.5
- 6406533489559. ✓ 1
- 6406533489560. ✗ -1
- 6406533489561. ✗ -1.5

Question Number : 229 Question Id : 6406531031857 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

An asset A has a correlation of 0.2 with the market and a standard deviation of 20%. If the market return has a standard deviation of 5%, what is the beta of asset A?

Options :

- 6406533489562. ✗ -0.2
- 6406533489563. ✗ 0.2
- 6406533489564. ✓ 0.8
- 6406533489565. ✗ 3.2

Question Number : 230 Question Id : 6406531031864 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Short selling refers to

Options :

- 6406533489586. ✗ Buying stock at a low price and selling them at a higher price.
- 6406533489587. ✗ Selling stocks you own for immediate profit.
- 6406533489588. ✓ Selling stocks, you don't own in the hope of buying them back at a lower price.
- 6406533489589. ✗ Selling the stocks which are trading at minimum price.

Question Number : 231 Question Id : 6406531031865 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

You create a portfolio of 16 identical assets that have an expected return of 20% and a standard deviation of 20%. These 16 assets are uncorrelated with each other. What is the standard deviation of your portfolio?

Options :

6406533489590. ✖ 20%

6406533489591. ✖ 10%

6406533489592. ✔ 5%

6406533489593. ✖ 1.25%

Question Number : 232 Question Id : 6406531031866 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following statements is **incorrect**?

Options :

6406533489594. ✖ The minimum variance set is a subset of the feasible set.

6406533489595. ✖ The minimum variance set is the left boundary of a feasible set.

6406533489596. ✔ Risk-averse investors always choose the global minimum variance portfolio as their optimal portfolio.

6406533489597. ✖ The efficient frontier is a subset of the minimum variance set.

Question Number : 233 Question Id : 6406531031867 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

If the utility function of an individual is a strictly concave function, the individual is

Options :

6406533489598. ✖ Risk neutral

6406533489599. ✔ Risk averse

6406533489600. ✖ Risk lover

6406533489601. ✖ He does not care about the risk.

Question Number : 234 Question Id : 6406531031868 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

A borrower is called solvent if

Options :

6406533489602. ✖ His capital exceeds his assets.

6406533489603. ✖ His liabilities exceed his assets.

6406533489604. ✔ His assets exceed his liabilities.

6406533489605. ✖ His liabilities exceed his capital.

Question Number : 235 Question Id : 6406531031869 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

A garment outlet can be worth 60 thousand in two years with a 25% probability or 150 thousand in two years with a 75% probability, depending on product demand. The appropriate cost of capital is 10% per year. What is the present value of the outlet? (up to two decimal points)

Options :

6406533489606. ✖ 100.00 thousand

6406533489607. ✔ 105.37 thousand

6406533489608. ✖ 115.91 thousand

6406533489609. ✖ 127.50 thousand

Question Number : 236 Question Id : 6406531031870 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following statements is correct?

Options :

6406533489610. ✖ Equity owners are paid off first, and then, the debt is paid off.

6406533489611. ✖ Equity owner bears less risk in comparison to debt creditors.

6406533489612. ✔ Equity ownership is an example of limited liability.

6406533489613. ✖ Equity financing does not provide ownership rights.

Question Number : 237 Question Id : 6406531031871 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

At the optimal consumption point

Options :

6406533489614. ✖ The slope of the budget line is more than the marginal rate of substitution.

6406533489615. ✖ The consumer does not consume his whole income.

6406533489616. ✔ The budget line is tangent to the indifference curve.

6406533489617. ✖ The marginal utility of the goods is the same.

Question Number : 238 Question Id : 6406531031872 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

If the risk-free rate of return is 6% and the expected market return is 12%. If the beta of an asset is 2, then what is the expected return of the asset according to the capital asset pricing model? ($r_i = r_f + \beta_i(r_m - r_f)$)

Options :

6406533489618. ✖ 6%

6406533489619. ✖ 12%

6406533489620. ✔ 18%

6406533489621. ✖ 24%

Question Number : 239 Question Id : 6406531031873 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Suppose there are 4 assets that are uncorrelated. One may invest in any one or in any combination of them. The mean rate of return is 10%, and it is the same for each of the assets. The variances are $\sigma_1^2 = 0.10$, $\sigma_2^2 = 0.20$, $\sigma_3^2 = 0.30$, $\sigma_4^2 = 0.40$. What is the minimum variance that can be obtained in a portfolio consisting of these four assets?

Options :

6406533489622. ✔ 0.048

6406533489623. ✖ 0.078

6406533489624. ✖ 0.120

6406533489625. ✖ 0.250

Sub-Section Number :

3

Sub-Section Id :

640653157573

Question Shuffling Allowed :

No

Question Id : 6406531031849 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (240 to 241)

Question Label : Comprehension

You purchase a farm located near a river for 100 thousand units. You believe that there is a 20% chance of flooding in the river in the next year. If there is a flood, the produce in the farm gets destroyed, and the total payoff is 40 thousand units in the next year; otherwise, the farm generates a payoff of 150 thousand units in the next year. The appropriate cost of capital is 20% per year. Suppose you finance your purchase with a loan of 80 thousand units and the remaining amount as equity.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 240 Question Id : 6406531031850 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What would be the appropriate promised rate of return that the creditor of the loan would demand?

Options :

6406533489538. ✖ 20%

6406533489539. ✖ 27.5%

6406533489540. ✖ 32.5%

6406533489541. ✔ 37.5%

Question Number : 241 Question Id : 6406531031851 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is the expected payoff for the equity owner in the next year?

Options :

6406533489542. ✖ 20 thousand

6406533489543. ✖ 25 thousand

6406533489544. ✔ 32 thousand

6406533489545. ✖ 40 thousand

Question Id : 6406531031853 Question Type : COMPREHENSION Sub Question Shuffling

Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (242 to 243)

Question Label : Comprehension

Monica works as a stuntwoman who has a utility function of the form $U(x) = \sqrt{x}$.

If she is not injured, she expects to get 900 units per day for doing stunts in the movies. If she gets injured, she will have to take a job that pays her 100 units per day.

There is a 20% chance that Monica will be severely injured and will not be able to perform stunts.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 242 Question Id : 6406531031854 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is Monica's expected utility?

Options :

6406533489550. ✖ 740

6406533489551. ✖ 27.2

6406533489552. ✓ 26.0

6406533489553. ✗ 14.0

Question Number : 243 Question Id : 6406531031855 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

If Monica pays p for an insurance policy that would pay her 800 units if she suffered a severe injury, then she would be sure to have an income of $900-p$ regardless of whether she is injured. What would be the largest price that Monica would be willing to pay for such insurance?

Options :

6406533489554. ✗ 16 units

6406533489555. ✗ 100 units

6406533489556. ✗ 160 units

6406533489557. ✓ 224 units

Sub-Section Number :

4

Sub-Section Id :

640653157574

Question Shuffling Allowed :

No

Question Id : 6406531031858 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (244 to 248)

Question Label : Comprehension

Suppose there are two assets with $\bar{r}_1 = 0.10$, $\bar{r}_2 = 0.20$, $\sigma_1 = 0.20$, $\sigma_2 = 0.30$, $\sigma_{12} = 0.02$.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 244 Question Id : 6406531031859 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

A portfolio is formed with 40% of wealth invested in Asset 1 and 60% of wealth invested in Asset 2. What would be the expected rate of return of the portfolio?

Options :

6406533489566. ✗ 0.12

6406533489567. ✗ 0.14

6406533489568. ✓ 0.16

6406533489569. ✗ 0.18

Question Number : 245 Question Id : 6406531031860 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What would be the standard deviation of the rate of return of the portfolio?

Options :

6406533489570. ✖ 0.20

6406533489571. ✔ 0.22

6406533489572. ✖ 0.24

6406533489573. ✖ 0.27

Question Number : 246 Question Id : 6406531031861 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Suppose you would like to construct a portfolio with an expected rate of return of 15%. What weights would you put on Asset 1 and Asset 2, respectively?

Options :

6406533489574. ✖ 40%, 60%

6406533489575. ✔ 50%, 50%

6406533489576. ✖ 60%, 40%

6406533489577. ✖ 70%, 30%

Question Number : 247 Question Id : 6406531031862 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What are the weights of Asset 1 and Asset 2 in the minimum variance portfolio?

Options :

6406533489578. ✔ 77.78%, 22.22%

6406533489579. ✖ 22.22%, 77.78%

6406533489580. ✖ 55.56%, 44.44%

6406533489581. ✖ 44.44%, 55.56%

Question Number : 248 Question Id : 6406531031863 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is the expected rate of return of the minimum variance portfolio?

Options :

6406533489582. ✔ 12.22%

6406533489583. ✖ 14.44%

6406533489584. ✖ 15.56%

6406533489585. ✖ 17.78%